

Asian Industrial Technology

Global Automation: 2026 Asia Automation tour takeaways



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We visited 14 automation companies in China and Japan in our annual tour this month, including publicly listed Inovance, Leader Drive, MOONS' Electric (not covered), Keyence, FANUC, SMC, DMG Mori (not covered), Yaskawa (not covered), Omron (not covered), THK (not covered), Nabtesco (not covered), and private companies Mech-Mind, Fourier, and OYMotion. We summarize the key takeaways below and update company models post the tour and recent earnings results.

Confirmation of broad-based global FA upcycle. By region, in China, both Inovance (April orders +40% YoY) and Japan FA companies confirmed continued strength despite weak April FAI data. RoW growth is accelerating (Exhibit 1). By end industry, semiconductors and AI-related investments lead the growth, but they typically only account for 5-25% of automation demand. All other verticals, including automotive, are also recovering at different paces. FA companies in general have not seen abnormal "advance orders" from customers, indicating that current demand is largely not due to customers' inventory buildup. Our view is that peak growth is 1H26 in China and 1Q27 globally, with the upcycle lasting >1 year after the peak.

Physical AI differentiation. Many companies talk the talk, but FANUC really walks the walk. It received orders of thousands of units a few months after its debut last December, compared to ~200 units by Yaskawa 2.5 years after the initial announcement. We analyzed FANUC's unique strengths in Physical AI previously ([here](#)), and another important difference is that all of FANUC's robots, rather than a specific line (e.g. Yaskawa's Motoman Next), can be used in Physical AI platforms such as those from Nvidia and Google (both covered). Like us, FANUC sees Physical AI not as a disruptive technology or near-term growth multiplier, but a complementary technology to continuously expand the scope of robotic applications (see [here](#)), and to allow inexperienced customers to adopt existing robotic applications with ease.

Toward the first commercial adoption of humanoid robots. There has been general excitement about humanoid robots becoming useful beyond entertainment and research. First killer applications are emerging in warehouses and factories for various types of material handling (see [here](#) and [here](#)). Humanoid volume growth is 200%+ YoY based on comments from players in China. In plant visits, we further confirm that humanoid robots are to complement rather than replace industrial robots. Even in the world's most automated factory, where FANUC robots are making their own copies, human workers are still present for packaging, loading/ unloading, inspection and testing, and harness installation. These tasks have proved difficult to automate with existing FA equipment and are suited for humanoid robots in the future. FA components companies are adjusting their approach to be more integrated: from individual components (reducers and motors) to actuator modules (Harmonic Drive, Inovance) and even the entire robots (Inovance), in order to protect margins and accelerate application development.

Continued on the next page (competition in China, pricing power and margins) ...

DETAILS

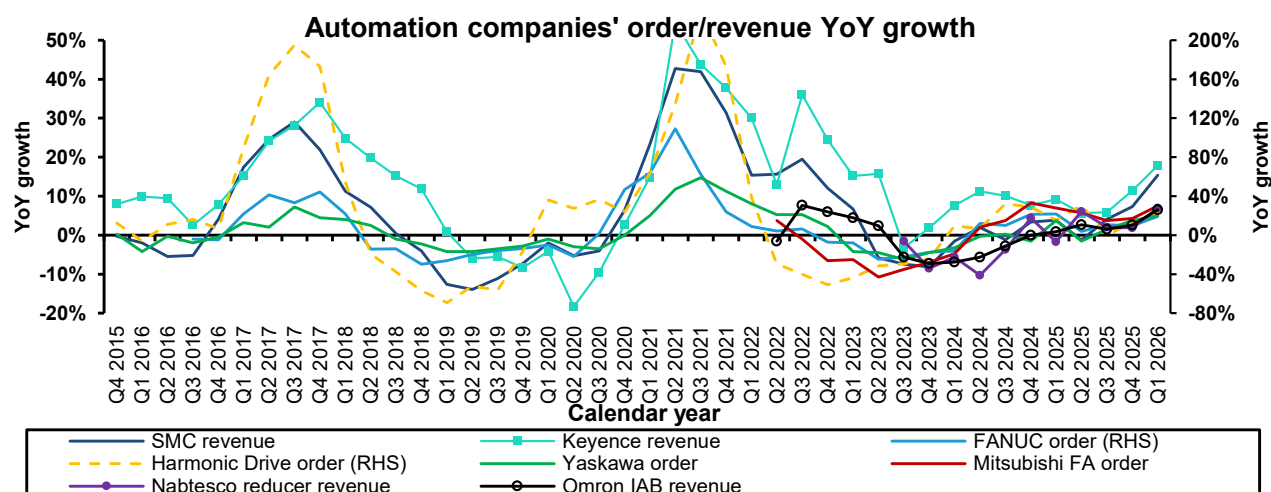
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Asymmetric impact from competition in China. All Japanese FA companies acknowledge the improvement of Chinese technologies. Keyence (see [here](#)) and FANUC were able to maintain stable share through innovation, making themselves moving targets to competition, but one needs to be in the right segments to do this. Yaskawa allows its market share to decline to maintain margins in China. Omron introduces “low-end” China only SKUs, hoping to regain market share. We are doubtful that this approach will be effective.

Pricing power and margins. Facing increasing costs of input, general inflation and U.S. tariffs, FA companies have shown clear differentiation in pricing power. And this is not a function of the level of concentration in the market. The best innovators in fragmented markets, such as Keyence and FANUC, pass through the additional costs entirely. Others, such as SMC and Harmonic Drive, albeit in more concentrated markets, can only partially pass through the costs. Companies have also shown different willingness and ability to maintain margins through the recent cycle (Exhibit 2). We view stable margin, or meaningful recovery of margin in upcycles, as testimony to the quality of operation and management. On this metric, Keyence and AirTAC clearly outperformed the rest. FANUC and Harmonic Drive are making genuine efforts to drive margin recovery, although previous high levels are difficult to achieve. SMC seems to allow margin erosion without clear plan or intention to improve.

In light of the latest earning results, we have updated our forecasts for SMC ([model](#)), Harmonic Drive ([model](#)), IPG Photonics ([model](#)), Han's Laser ([model](#)), Estun ([model](#)), and Hikvision ([model](#)). Please see discussion in investment implications and updated financial summary (Exhibit 7 to Exhibit 12) for more details.

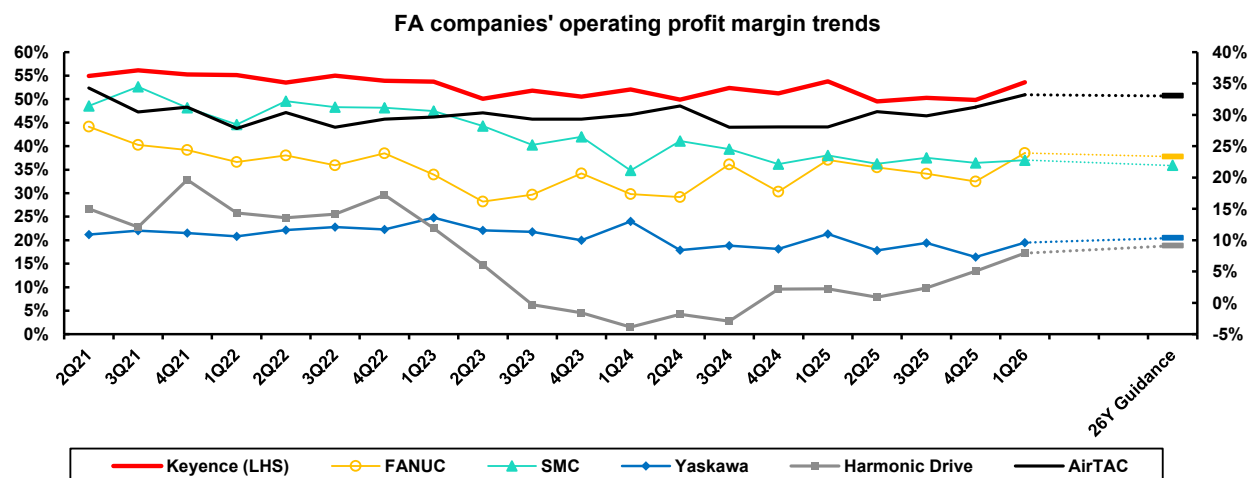
EXHIBIT 1: The global factory automation upcycle is accelerating.



Note: Yaskawa, Mitsubishi, Nabtesco, and Omron are not covered by Bernstein.

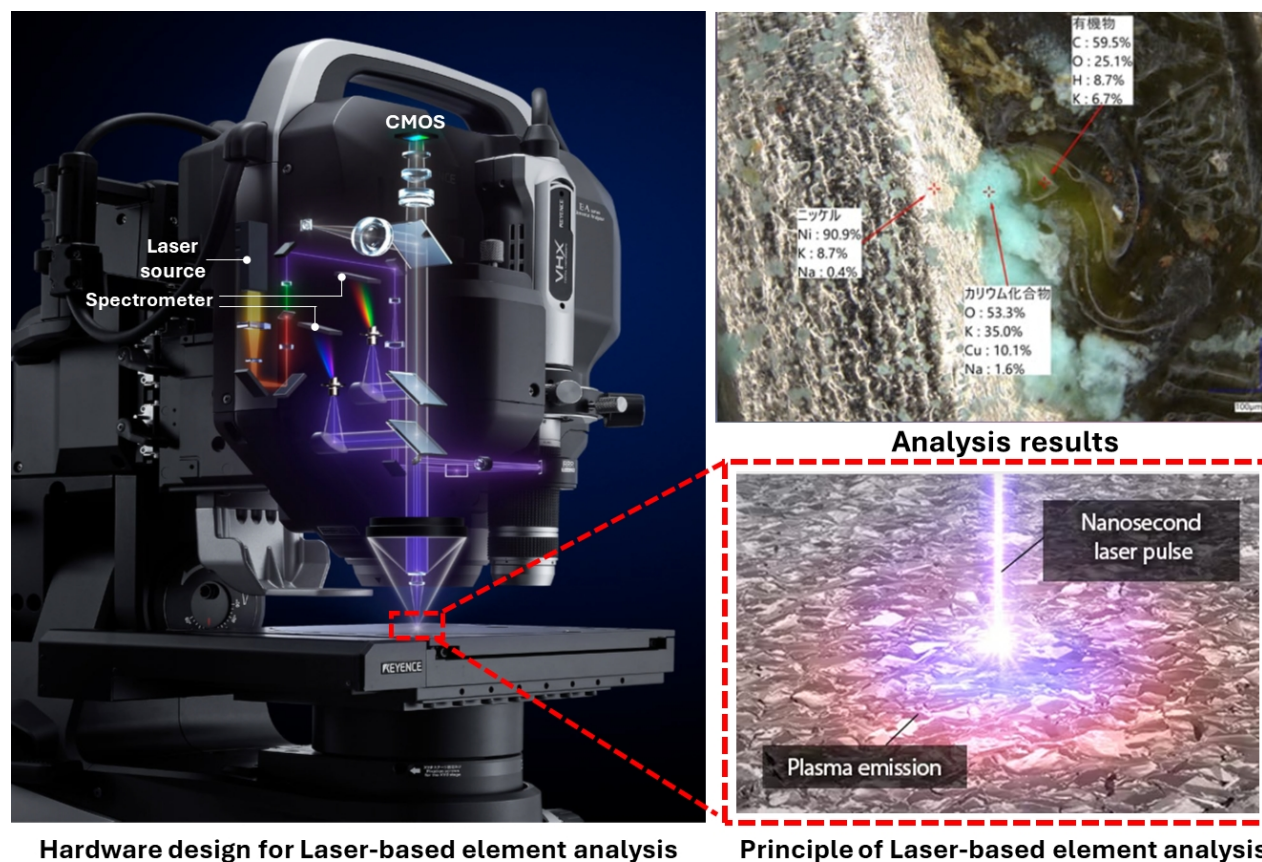
Source: Company results, Bernstein analysis

EXHIBIT 2: FA companies have also shown different willingness and ability to maintain margins through the recent cycle



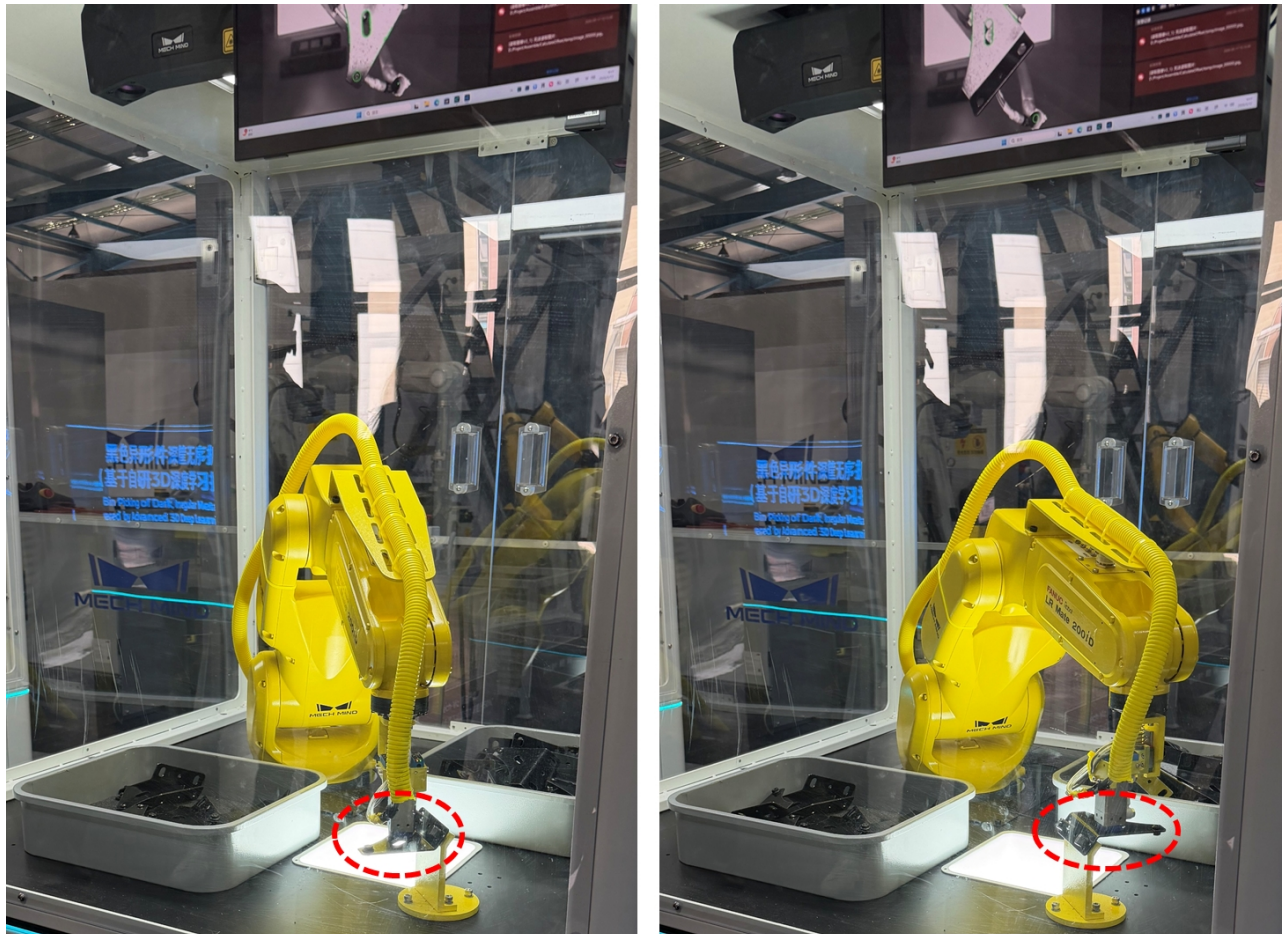
Note: Fiscal year 2026 of Keyence, FANUC, SMC and Harmonic Drive ends in March 2027; Fiscal year 2026 of Yaskawa (not covered) ends in February 2027.
Source: Bloomberg, companies' results and comments, Bernstein analysis.

EXHIBIT 3: Keyence's microscope with laser-based element analysis remained unique in the market for two years after its launch.



Source: Keyence, Bernstein analysis

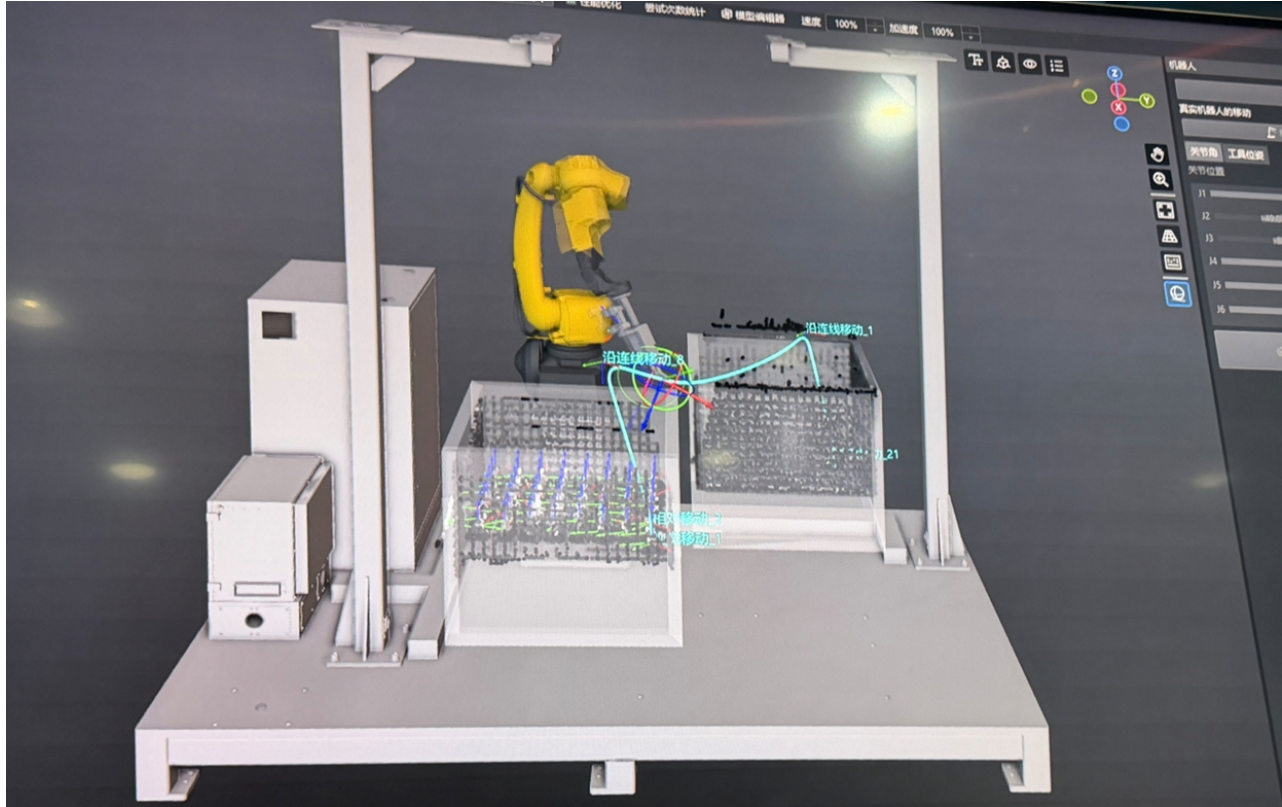
EXHIBIT 4: Mech-Mind demonstrates highly flexible autonomous path and posture planning for robotics applications, including bin picking and dimension checking.



Highly flexible autonomous path and posture planning

Source: Bernstein photo and analysis

EXHIBIT 5: **Demonstration of path planning for bin picking application**

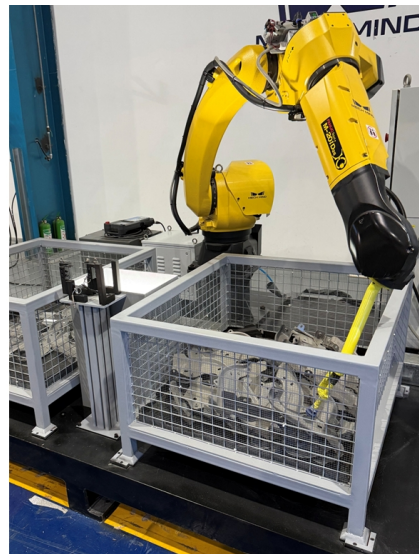


Source: Bernstein photo

EXHIBIT 6: **Mech-Mind demonstrates multiple applications using 3D vision for robot guiding.**



Arc welding



Bin-picking from a deep box



Large part measurement

Source: Bernstein photo and analysis

EXHIBIT 7: Hikvision financial summary

RMB Million	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	63,503	81,420	83,166	89,340	92,496	92,508	97,129	103,469	111,353	120,278	130,031
Gross Profit	29,546	36,091	35,170	39,703	40,542	42,440	44,511	47,273	50,778	54,542	58,846
Operating Profit	15,197	18,474	14,783	16,039	14,312	16,963	19,439	21,486	23,031	24,189	26,019
Profit before Tax	15,273	18,468	14,855	16,099	14,343	17,013	19,633	21,693	23,254	24,430	26,279
Attributable Net Profit	13,386	16,800	12,837	14,108	11,977	14,195	16,435	18,181	19,494	20,482	22,033
EBITDA	16,515	19,227	14,954	16,835	16,213	18,542	21,497	23,400	25,059	26,355	28,337
EPS (Basic) (RMB)	1.45	1.81	1.37	1.52	1.30	1.55	1.79	1.98	2.13	2.23	2.40
EPS (Diluted) (RMB)	1.45	1.81	1.37	1.52	1.30	1.55	1.79	1.98	2.13	2.23	2.40
P/B (x)	5.6	4.7	4.4	3.9	3.7	3.5	3.3	3.0	2.7	2.5	2.3
P/E (x)	22.1	17.7	23.4	21.1	24.7	20.7	17.9	16.1	15.0	14.3	13.3
EV/IC (x)	7.5	5.9	4.9	4.5	4.0	4.3	4.1	3.7	3.4	3.1	2.9
EV/EBITDA (x)	16.0	13.7	17.6	15.7	16.3	14.2	12.3	11.3	10.5	10.0	9.3
ROIC (excl. Goodwill)	42%	43%	26%	26%	21%	23%	27.6%	28.3%	27.8%	26.7%	26.4%
ROE	27%	29%	20%	20%	15%	17%	18.8%	18.9%	18.3%	17.5%	17.2%
Gross Margin	46.5%	44.3%	42.3%	44.4%	43.8%	45.9%	45.8%	45.7%	45.6%	45.3%	45.3%
Operating Profit Margin	23.9%	22.7%	17.8%	18.0%	15.5%	18.3%	20.0%	20.8%	20.7%	20.1%	20.0%
Net Margin	21.5%	21.5%	16.3%	17.0%	14.2%	16.7%	18.4%	19.1%	19.0%	18.5%	18.4%
EBITDA Margin	26.0%	23.6%	18.0%	18.8%	17.5%	20.0%	22.1%	22.6%	22.5%	21.9%	21.8%
Revenue Growth	10.1%	28.2%	2.1%	7.4%	3.5%	0.0%	5.0%	6.5%	7.6%	8.0%	8.1%
Operating Profit Growth	10.9%	21.6%	(20.0%)	8.5%	(10.8%)	18.5%	14.6%	10.5%	7.2%	5.0%	7.6%
Attributable Net Profit Growth	7.8%	25.5%	(23.6%)	9.9%	(15.1%)	18.5%	15.8%	10.6%	7.2%	5.1%	7.6%
EBITDA Growth	19.5%	16.4%	(22.2%)	12.6%	(3.7%)	14.4%	15.9%	8.9%	7.1%	5.2%	7.5%

Source: Hikvision, Bernstein analysis and estimates

EXHIBIT 8: Harmonic Drive financial summary

(in Mn YEN)	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	57,088	71,527	55,796	55,646	59,558	68,732	77,481	86,915	97,433
Gross profit	22,426	25,786	15,606	14,854	18,133	21,766	25,581	28,772	32,897
Operating profit	8,740	10,225	125	7	2,568	6,810	9,417	10,955	13,411
Pre-tax Profit	9,012	10,195	(27,606)	4,780	2,294	6,790	9,410	10,958	13,423
Attributable Net Income	6,644	7,596	(24,807)	3,474	1,609	5,432	7,528	8,766	10,738
EBITDA	16,994	19,800	10,487	8,030	9,929	15,733	16,345	17,997	20,607
EPS (Basic, attributable) (YEN)	69	80	(261)	37	17	57	80	93	113
P/B (x)	7.8	7.3	9.6	9.6	9.4	9.0	8.5	7.9	7.4
P/E (x)	115.9	100.4	n.a.	218.8	470.9	139.4	100.6	86.4	70.5
EV/IC (x)	6.7	6.1	8.3	9.4	9.1	9.5	9.1	8.8	8.4
EV/EBITDA (x)	44.4	38.1	71.9	93.9	75.9	47.9	46.1	41.9	36.6
ROIC (excl. investment)	5.8%	6.5%	0.1%	0.0%	2.2%	6.7%	9.3%	10.4%	12.2%
ROE (excl. comprehensive income)	7.1%	8.5%	(32.7%)	5.5%	2.6%	8.5%	11.0%	11.8%	13.2%
Gross Margin	39.3%	36.1%	28.0%	26.7%	30.4%	31.7%	33.0%	33.1%	33.8%
Operating profit Margin	15.3%	14.3%	0.2%	0.0%	4.3%	9.9%	12.2%	12.6%	13.8%
Net Margin (attributable)	11.6%	10.6%	(44.5%)	6.2%	2.7%	7.9%	9.7%	10.1%	11.0%
EBITDA Margin	29.8%	27.7%	18.8%	14.4%	16.7%	22.9%	21.1%	20.7%	21.2%
Revenue Growth	54.1%	25.3%	(22.0%)	(0.3%)	7.0%	15.4%	12.7%	12.2%	12.1%
Operating profit Growth	909.3%	17.0%	(98.8%)	(94.4%)	36,617.3%	165.2%	38.3%	16.3%	22.4%
Attributable Net Income Growth	902.9%	14.3%	n.a.	n.a.	(53.7%)	237.6%	38.6%	16.5%	22.5%
EBITDA Growth	105.9%	16.5%	(47.0%)	(23.4%)	23.6%	58.5%	3.9%	10.1%	14.5%

Source: Harmonic Drive, Bernstein analysis and estimates

EXHIBIT 9: SMC Financial summary

JPY Million	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2030E	2031E
Revenue	552,178	727,397	824,772	776,873	792,108	842,541	1,003,042	1,109,374	1,085,863	1,113,736	1,225,109
Gross profit	265,852	363,851	421,159	363,077	363,038	381,452	452,765	501,874	484,597	502,734	563,550
Operating profit	153,355	227,857	258,200	196,226	190,244	190,558	224,719	250,758	234,849	253,696	300,152
Profit before income taxes	172,482	272,851	308,777	252,653	211,068	236,989	256,730	286,078	269,489	289,139	339,148
Profit attributable to owners of parent	121,790	192,991	224,609	178,321	156,344	167,302	187,863	205,581	195,323	208,678	245,314
EPS (Basic/Diluted) (JPY)	1,832	2,924	3,444	2,767	2,444	2,641	2,975	3,256	3,094	3,305	3,885
BVPS (Basic/Diluted) (JPY)	20,343	22,050	24,020	25,694	26,961	28,502	30,582	32,788	34,782	36,937	39,572
P/B (x)	3.3	3.0	2.8	2.6	2.5	2.3	2.2	2.0	1.9	1.8	1.7
P/E (x)	36.5	22.9	19.4	24.2	27.4	25.4	22.5	20.6	21.6	20.3	17.2
EV/IC (x)	4.3	3.7	3.0	2.4	2.6	2.3	1.9	1.9	1.9	1.8	1.7
EV/EBITDA (x)	19.8	13.7	12.0	14.8	15.1	14.4	11.8	10.6	11.6	11.2	9.8
ROIC	14.2%	19.1%	18.5%	10.9%	10.4%	9.8%	10.2%	10.1%	9.5%	10.0%	11.2%
ROE	9.2%	13.7%	14.9%	11.1%	9.3%	9.5%	10.1%	10.3%	9.2%	9.2%	10.2%
Gross Margin	48.1%	50.0%	51.1%	46.7%	45.8%	45.3%	45.1%	45.2%	44.6%	45.1%	46.0%
Operating profit Margin	27.8%	31.3%	31.3%	25.3%	24.0%	22.6%	22.4%	22.6%	21.6%	22.8%	24.5%
Attributable net Margin	22.1%	26.5%	27.2%	23.0%	19.7%	19.9%	18.7%	18.5%	18.0%	18.7%	20.0%
Revenue Growth	5.0%	31.7%	13.4%	-5.8%	2.0%	6.4%	19.0%	10.6%	-2.1%	2.6%	10.0%
Operating profit Growth	4.9%	48.6%	13.3%	-24.0%	-3.0%	0.2%	17.9%	11.6%	-6.3%	8.0%	18.3%
Net Income Growth	10.2%	58.5%	16.4%	-20.6%	-12.3%	7.0%	12.3%	9.4%	-5.0%	6.8%	17.6%

Source: SMC, Bernstein estimates and analysis

EXHIBIT 10: **Han's Laser financial summary**

(RMB Thousand)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	11,942,483	16,332,336	14,961,185	14,091,102	14,771,215	18,758,866	24,949,528	28,743,598	29,679,893	31,694,422	34,016,699
Gross Profit	4,789,878	6,133,016	5,273,917	4,616,842	4,703,647	6,242,980	8,446,127	9,824,793	9,954,050	10,608,784	11,381,323
Operating Profit	1,034,339	2,261,443	1,322,171	823,074	1,815,771	1,551,466	2,409,462	2,778,468	2,332,230	2,441,820	2,571,880
Profit before Tax	1,066,040	2,306,759	1,317,486	824,004	1,836,097	1,553,329	2,434,829	2,803,836	2,357,598	2,467,187	2,597,248
Attributable Net Profit	978,925	1,994,493	1,214,512	820,219	1,693,900	1,189,684	2,217,642	2,553,734	2,147,300	2,247,114	2,365,573
EBITDA	1,593,695	2,737,364	2,061,847	1,612,741	2,657,037	2,290,214	3,346,752	3,741,648	3,303,137	3,435,990	3,598,976
EPS (Basic) (RMB)	0.93	1.90	1.15	0.78	1.62	1.15	2.15	2.48	2.09	2.18	2.30
EPS (Diluted) (RMB)	0.93	1.88	1.15	0.78	1.62	1.15	2.15	2.48	2.09	2.18	2.30
P/B (x)	15.0	12.6	10.1	9.6	8.9	8.2	7.4	6.6	6.1	5.6	5.2
P/E (x)	145.6	71.3	117.8	173.7	83.6	117.8	62.9	54.6	64.9	62.1	59.0
EV/IC (x)	15.1	13.4	11.2	14.5	9.2	9.1	8.6	8.0	7.8	7.4	7.0
EV/EBITDA (x)	85.7	49.9	66.3	84.7	51.4	59.7	40.8	36.5	41.4	39.8	38.0
ROIC (excl. Goodwill)	11.9%	23.4%	13.8%	11.1%	15.7%	9.7%	15.5%	16.9%	13.9%	14.0%	14.1%
ROE	10.4%	18.8%	9.3%	5.7%	10.3%	7.2%	11.3%	11.8%	9.1%	8.8%	8.6%
Gross Margin	40.1%	37.6%	35.3%	32.8%	31.8%	33.3%	33.9%	34.2%	33.5%	33.5%	33.5%
Operating Profit Margin	8.7%	13.8%	8.8%	5.8%	12.3%	8.3%	9.7%	9.7%	7.9%	7.7%	7.6%
Net Margin	8.2%	12.2%	8.1%	5.8%	11.5%	6.3%	8.9%	8.9%	7.2%	7.1%	7.0%
EBITDA Margin	13.3%	16.8%	13.8%	11.4%	18.0%	12.2%	13.4%	13.0%	11.1%	10.8%	10.6%
Revenue Growth	24.9%	36.8%	(8.4%)	(5.8%)	4.8%	27.0%	33.0%	15.2%	3.3%	6.8%	7.3%
Operating Profit Growth	54.5%	118.6%	(41.5%)	(37.7%)	120.6%	(14.6%)	55.3%	15.3%	(16.1%)	4.7%	5.3%
Attributable Net Profit Growth	52.4%	103.7%	(39.1%)	(32.5%)	106.5%	(29.8%)	86.4%	15.2%	(15.9%)	4.6%	5.3%
EBITDA Growth	51.9%	71.8%	(24.7%)	(21.8%)	64.8%	(13.8%)	46.1%	11.8%	(11.7%)	4.0%	4.7%

Source: Han's Laser, Bernstein analysis and estimates

EXHIBIT 11: **Estun: financial summary**

(RMB million)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Revenue	2,510	3,020	3,881	4,652	4,009	4,888	5,735	6,248	6,385	7,150
Gross Profit	857	983	1,314	1,485	1,185	1,440	1,754	1,919	1,930	2,182
Operating Profit	132	145	245	149	-791	70	291	305	293	404
Profit before Tax	158	166	263	167	-775	77	320	337	324	439
Attributable Net Profit	128	122	166	135	-810	45	268	282	272	368
EBITDA	352	300	465	434	-457	421	700	677	645	760
EPS (Basic) (RMB)	0.15	0.14	0.19	0.16	-0.93	0.05	0.31	0.32	0.31	0.42
EPS (Diluted) (RMB)	0.15	0.14	0.19	0.16	-0.93	0.05	0.31	0.32	0.31	0.42
P/B (x)	14.5	9.9	9.4	9.7	14.6	13.3	11.7	10.6	9.7	8.7
P/E (x)	200.2	214.5	158.1	187.7	(32.3)	600.6	97.7	92.9	96.3	71.1
EV/IC (x)	6.8	6.3	5.5	4.8	4.8	4.7	4.6	4.6	4.7	4.7
EV/EBITDA (x)	79.7	93.5	60.3	64.6	(61.4)	66.7	40.1	41.4	43.5	36.9
ROIC (excl. Goodwill)	4.8%	4.9%	5.2%	3.0%	(18.2%)	0.8%	5.4%	5.6%	5.5%	7.6%
ROE	6.9%	5.6%	6.2%	4.9%	(36.1%)	2.4%	12.8%	12.0%	10.5%	12.9%
Gross Margin	34.1%	32.5%	33.9%	31.9%	29.6%	29.5%	30.6%	30.7%	30.2%	30.5%
Operating Profit Margin	5.3%	4.8%	6.3%	3.2%	(19.7%)	1.4%	5.1%	4.9%	4.6%	5.6%
Net Margin (attributable)	5.1%	4.0%	4.3%	2.9%	(20.2%)	0.9%	4.7%	4.5%	4.3%	5.1%
EBITDA Margin	14.0%	9.9%	12.0%	9.3%	(11.4%)	8.6%	12.2%	10.8%	10.1%	10.6%
Revenue Growth	58.7%	20.3%	28.5%	19.9%	(13.8%)	21.9%	17.3%	8.9%	2.2%	12.0%
Operating Profit Growth	92.3%	9.2%	69.3%	(39.3%)	(632.7%)	n.a.	317.8%	4.8%	(4.2%)	38.0%
Attributable Net Profit Growth	104.0%	(4.8%)	36.3%	(18.8%)	(700.1%)	n.a.	495.4%	5.2%	(3.6%)	35.4%
EBITDA Growth	66.9%	(14.7%)	55.0%	(6.6%)	(205.2%)	(192.1%)	66.5%	(3.3%)	(4.7%)	17.8%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: **IPG: Financial summary**

(USD Thousand)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Revenue	1,200,724	1,460,860	1,429,547	1,287,439	977,134	1,003,777	1,133,754	1,261,932	1,307,438	1,391,649
Gross profit	538,996	696,398	555,413	541,698	338,155	381,463	442,588	507,964	529,512	568,968
Operating profit	198,659	367,883	169,500	231,973	(208,254)	13,104	46,124	97,836	107,849	139,520
Pre-tax Profit	205,692	366,481	183,351	274,875	(161,888)	45,096	72,954	128,144	145,029	189,789
Attributable Net Income	159,572	278,416	109,909	218,878	(181,526)	31,096	55,536	96,108	108,772	142,342
EBITDA	293,213	464,213	260,064	301,594	(146,811)	79,958	115,726	168,626	178,458	209,670
EPS (Basic) (USD)	3.00	5.21	2.17	4.64	(4.09)	0.73	1.32	2.28	2.57	3.37
EPS (Diluted) (USD)	2.97	5.16	2.16	4.63	(4.09)	0.73	1.30	2.24	2.53	3.32
P/B (x)	2.5	2.3	2.5	2.3	2.6	2.4	2.4	2.3	2.2	2.0
P/E (x)	40.1	23.1	55.1	25.7	(29.1)	163.0	91.7	53.1	46.9	35.9
EV/IC (x)	2.9	2.8	2.9	2.9	3.3	2.8	3.7	3.6	4.1	3.9
EV/EBITDA (x)	13.0	8.2	14.6	12.6	(25.9)	47.6	32.9	22.6	21.3	18.2
ROIC (excl. investment)	11.5%	20.7%	7.7%	14.1%	(19.0%)	0.7%	2.9%	7.0%	8.1%	10.9%
ROE (excl. comprehensive income)	6.4%	10.4%	4.3%	9.1%	(8.2%)	1.5%	2.6%	4.3%	4.7%	5.8%
Gross Margin	44.9%	47.7%	38.9%	42.1%	34.6%	38.0%	39.0%	40.3%	40.5%	40.9%
Operating Profit Margin	16.5%	25.2%	11.9%	18.0%	(21.3%)	1.3%	4.1%	7.8%	8.2%	10.0%
Net Margin (attributable)	13.3%	19.1%	7.7%	17.0%	(18.6%)	3.1%	4.9%	7.6%	8.3%	10.2%
EBITDA Margin	24.4%	31.8%	18.2%	23.4%	(15.0%)	8.0%	10.2%	13.4%	13.6%	15.1%
Revenue Growth	(8.7%)	21.7%	(2.1%)	(9.9%)	(24.1%)	2.7%	12.9%	11.3%	3.6%	6.4%
Operating Profit Growth	(15.0%)	85.2%	(53.9%)	36.9%	n.a.	n.a.	252.0%	112.1%	10.2%	29.4%
Net Income Growth (attributable)	(11.5%)	74.5%	(60.5%)	99.1%	n.a.	n.a.	78.6%	73.1%	13.2%	30.9%
EBITDA Growth	(11.2%)	58.3%	(44.0%)	16.0%	n.a.	n.a.	44.7%	45.7%	5.8%	17.5%

Source: IPG Photonics, Bernstein estimates and analysis

INVESTMENT IMPLICATIONS

We reiterate Outperform for Inovance, Keyence, FANUC, Cognex, and AirTAC; Underperform for Leader Drive.

For SMC, we reiterate our Outperform rating and lower the price target to JPY 78,000 (was JPY 84,000), based on a decreased EV/EBITDA multiple of 13.2x (was 15.2x) applied to our 1-year forward-looking EBITDA estimates (from the PT date) of JPY 312,279 million (was JPY 296,164 million). We rolled our price target date to December 2026. Compared to previous forecast, we moderately increased our revenue growth forecast, considering the accelerating global FA upcycle, which is likely to last longer than previous upcycles as CAPEX projects delayed by geopolitical uncertainties gradually resume. However, we lowered our margin forecast, largely due to the new plan for sales team expansion over the next three years and increased raw material costs. Although the global FA upcycle is accelerating, we lowered our target multiple to reflect increased investor concerns about the management team's ability to balance growth and profitability.

For Harmonic Drive, we reiterate our Outperform rating and raise the price target to JPY7,800 (was JPY4,800), based on an increased EV/EBITDA multiple of 45.5x (was 29.0x) applied to our 1-year forward-looking EBITDA estimates (from the PT date) of JPY 16,194 million (was JPY15,639 million). We rolled our price target date to December 2026. Compared to previous forecast, we moderately increased our revenue growth forecast for FY2026/2027, considering the accelerating global FA upcycle, which we believe is likely to last longer than previous upcycles as CAPEX projects delayed by geopolitical uncertainties gradually resume. However, we slightly lowered our mid- to long-term revenue forecast due to more intense competition in reducer for humanoid robots in China than expected. We slightly increased our margin forecast, largely due to improved operating leverage. We increased our target multiple to reflect improved market sentiment regarding the growth opportunities in humanoid robot and the global FA upcycle.

For Hikvision, we reiterate our Outperform rating and raise the price target to RMB 40.0 (was RMB 38.0), based on an EV/EBITDA multiple of 15.5x (unchanged) applied to 1-yr forward-looking EBITDA estimates (from the price target date) of RMB 23,400 mn (was RMB 21,902mn). We rolled our price target date to December 2026. Our revenue growth forecast remains roughly unchanged, but we further increased our margin forecast slightly, as we expect Hikvision to continue focusing on growth quality over growth rate going forward. We expect moderate improvement in its core surveillance business, partly supported by overseas expansion and government spending beyond traditional surveillance projects. Over the mid- to long term, we expect steady expansion of TAM, particularly in AI-related and digitalization segments.

For Han's Laser, we reiterate our Outperform rating and raised the price target to RMB 130.0 (was RMB 42), based on an EV/EBITDA multiple of 35.0x (was 21.1x) applied to 1-year forward-looking EBITDA estimates (from the price target date) of RMB 3,742 million (was RMB 2,062mn). We rolled our price target date to December 2026. Compared to the previous forecast, the significantly increased revenue forecast is driven by stronger-than-expected performance in PCB equipment for AI data center related demand, as well as equipment for lithium battery and consumer electronics production. We raised our margin forecast, primarily driven by improvements in operating efficiency and product mix. We also raised our target multiple to reflect elevated sentiment driven by strong momentum in AI data center related investment.

For IPG Photonics, we reiterate our Outperform rating and lower the price target to USD125.0 (was USD162.0), based on a lowered EV/EBITDA multiple of 26.5x (was 29.0x) applied to 1-year forward-looking EBITDA estimates (from the price target date) of USD168.6 million (was USD 206.2 million). We rolled our price target forward to December 2026. Compared to the previous forecast, we lowered our margin forecast, mainly due to increased operating costs (e.g., tariff cost, R&D and marketing expenses for new products) and more intense-than-expected competition. We lowered our target multiple to reflect increased investor concerns about slower-than-expected margin improvement, as well as a normalization of sentiment toward FA names in the U.S. following the spike earlier this year.

For Estun, we reiterate our Market-Perform rating and raise the price target to RMB 26.0 (was RMB 20.0), based on an EV/EBITDA multiple of 35.9x (was 31.8x) applied to our one-year forward-looking EBITDA estimate (from the price target date) of RMB 677.2 million (was RMB 599.2 million). We set Estun's H-share TP to be HKD 17.3 based on the recent A/H share premium. Compared to previous forecast, we lowered our revenue growth forecast for 2026 but increased our revenue forecast for 2027, considering an elongated FA upcycle as CAPEX projects delayed by geopolitical uncertainties gradually resume, as well as potential inflection of demands from solar in late 2026 or early 2027. We increased our operating profit margin forecast as Estun started to showed further improvement in OPEX reduction. Despite being a key beneficiary of the Robotics Renaissance and continued solid FA demand in China, ongoing softness in core automation product verticals, a still-slow expansion of operating margin, and high valuation prevent us from taking a more constructive view on this name.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	26 May 2026	Price Target	TTM	Reported EPS				Reported P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
002747.CH (Estun)	M	CNY	30.03	26.00	8.0%	CNY	0.05	0.31	0.32	600.6	97.7	92.9
OLD				20.00				0.20	0.26			
2715.HK (Estun)	M	HKD	19.93	17.26	NA	CNY	0.05	0.31	0.32	398.6	64.8	61.6
OLD				11.50				0.20	0.26			
002008.CH (Hans Laser)	O	CNY	135.45	130.00	438.5%	CNY	1.15	2.15	2.48	117.8	62.9	54.6
OLD				42.00				1.37	1.03			
002415.CH (Hikvision)	O	CNY	32.00	40.00	(29.6)%	CNY	1.55	1.79	1.98	20.7	17.9	16.1
OLD				38.00				1.68	1.84			
6324.JP (HDSI)	O	JPY	8,000.00	7,800.00	91.2%	JPY	16.99	57.37	79.51	470.9	139.4	100.6
OLD				4,800.00				57.16	76.32			
IPGP (IPG Photonics)	O	USD	119.00	125.00	55.4%	USD	0.73	1.30	2.24	163.0	91.7	53.1
OLD				162.00				1.67	2.70			
6273.JP (SMC)	O	JPY	66,960	78,000	(18.9)%	JPY	2,640.86	2,975.39	3,256.00	25.4	22.5	20.6
OLD				84,000				3,073.03	3,165.84			
688017.CH (Leader Drive)	U	CNY	338.47	115.00	119.9%	CNY	0.69	0.83	0.96	488.8	405.8	352.0
6861.JP (Keyence)	O	JPY	77,120	86,000	(20.2)%	JPY	1,835.63	2,248.48	2,494.78	42.0	34.3	30.9
300124.CH (Inovance)	O	CNY	80.88	82.00	(21.5)%	CNY	1.87	2.19	2.65	43.3	36.9	30.6
1590.TT (AirTAC)	O	TWD	1,465.00	1,500.00	12.3%	TWD	41.97	53.26	55.38	34.9	27.5	26.5
6954.JP (Fanuc)	O	JPY	8,399.00	7,000.00	69.0%	JPY	178.47	207.32	193.15	47.1	40.5	43.5
CGNX (Cognex)	O	USD	66.09	75.00	93.6%	USD	0.67	1.46	1.62	98.6	45.3	40.9
ASIA			1,963.21									
JPL			2,569.01									
SPX			7,473.47									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

6273.JP, 6861.JP, 6954.JP base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

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